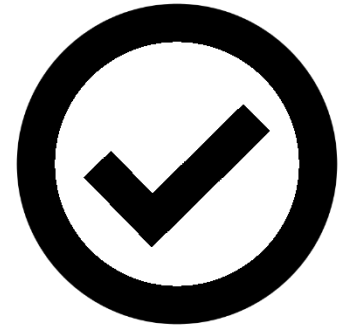




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



COLLEGE PAYROLL ACCOUNTING (130)

STATE 2021

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)
True/False (10 @ 1 point each) _____ (10 points)

APPLICATION KNOWLEDGE:

Short Answer (36 @ 1 point each) _____ (36 points)
Job 1: Payroll Register (66 @ 2 points each) _____ (110 points)
Job 2: Journalizing Transactions (30 @ 2 points each) _____ (60 points)

TOTAL POINTS _____ ***(246 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.
- Assume the following tax rates:
 - OASDI 6.2%
 - Medicare 1.45%
 - Federal Unemployment Tax 0.6%
- Calculations based on 2020 payroll laws/procedures.

Multiple Choice: 2 points each (30 Points)

1. D
2. B
3. C
4. D
5. A
6. B
7. D
8. D
9. D
- 10.C
- 11.A
- 12.C
- 13.D
- 14.C
- 15.C

True (A)/False (B) Questions: (10 questions, 1 point each)

1. A
2. A
3. A
4. B
5. B
6. A
7. B
8. B
9. B
- 10.A

Short-Answer Questions: (36 @ 1 point = 36 points)

1. Shuman (3 @ 1 point each = 3 points)

Taxable Earnings for SUTA & FUTA	\$ 2,000
FUTA Liability for ninth payroll	\$ 12.00
SUTA Liability for ninth payroll	\$ 64.00

2. Gunderson (5 @ 1 point each = 5 points)

Regular bi-weekly pay	\$ 3,740.00
Hourly Rate	\$ 50.54
Overtime Rate	\$ 75.81
Overtime Earnings	\$ 682.29
Total Earnings	\$ 4,422.29

3. Goat (3 @ 1 point each = 3 points)

Regular Earnings	\$ 772.34
Overtime Earnings	\$ 50.40
Total Earnings	\$ 822.74

4. Janes (5 @ 1 point each = 5 points)

Monthly	Bi-weekly	Weekly	Hourly Rate	Overtime Rate
\$5,601.92	\$2,585.50	\$1,292.75	\$32.32	\$48.48

5. Kadiddlehopper (5 @ 1 point each = 5 points)

Net Sales	\$ 7,650.00
Regular Salary	\$ 880.00
Sales Subject to Bonus	\$ 4,150.00
Bonus Earnings	\$ 207.50
Total Earnings	\$ 1,087.50

6. Jefferson (5 @ 1 point each = 5 points)

Rate per hour	\$ 15.75
Differential Rate per hour	\$ 17.33 or \$1.58 or \$15.75 + 10% (provided gross is correct)
Regular Hourly Pay	\$ 582.75
Differential Pay	\$ 51.99
Total Gross Pay	\$ 634.74

7. Bunhead (10 @ 1 point each = 10 points)

<u>Daily Amount Earned</u>			
Monday	(8 hours)	450 pieces	69.75
Tuesday	(8 hours)	530 pieces	82.15
Wednesday	(7.5 hours)	420 pieces	65.10
Thursday	(9 hours)	680 pieces	105.40
Friday	(7.5 hours)	520 pieces	80.60
Saturday	(4 hours)	340 pieces	52.70
Regular Earnings			\$ 455.70
Overtime Rate	\$ 5.18		
Overtime Earnings	\$ 20.72		
Total Earnings			\$ 476.42

JOB ASSIGNMENTS:

Job #1: Payroll Register (55 @ 2 points each = 110 points)

NAME	Reg.	Reg.	OT	OT	Total			Deductions			Net Pay
	Hours	Rate	Hours	Rate	Wages	OASDI	HI	FIT	Group Ins.	401K	
Johnson	40	12.35			494.00	30.63	7.16	47.00	12.00		397.21
Andrews	38	12.55			476.90	29.57	6.92	38.00	12.00	60.00	330.41
Barker	40	11.75	5	17.63	558.15	34.61	8.09	54.00	12.00		449.45
Benson	39	10.35			403.65	25.03	5.85	36.00	12.00		324.77
O'Mally	35	9.75			341.25	21.16	4.95	26.00	12.00	25.00	252.14
Severson	40	12.35	4.5	18.53	577.39	35.80	8.37	54.00	12.00	25.00	442.22
Smit	40	9.75			390.00	24.18	5.66	33.00	12.00	15.00	300.16
Tagert	37	10.15			375.55	23.28	5.45	33.00	12.00		301.82
Wagner	40	13.25	3.25	19.88	594.61	36.87	8.62	54.00	12.00	30.00	453.12
TOTALS					4,211.50	261.13	61.07	375.00	108.00	155.00	3,251.30

Job #2: Journal Entries (30 @ 2 points = 60 points)

Grader: 2 points for each date, 2 points for each account title, 2 points for each amount

From the data you calculated in Job #1, complete the employees' and employer's journal entry for the payment of the payroll. Here are the departments the employees go into:

Johnson = Office Salaries

Wagner = Management Salaries

All the rest = Sales Salaries

Assume all employees' wages are subject to the FUTA and SUTA (3.5%) rates stated in this test. Use January 4, 2020, as your date.

GENERAL JOURNAL

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Date 2020		Account Title	Debit					Credit			
01	04	OFFICE SALARIES EXPENSE		4	9	4	00				
		MANAGEMENT SALARIES EXPENSE		5	9	4	61				
		SALES SALARIES EXPENSE	3	1	2	2	89				
		OASDI OR SS PAYABLE						2	6	1	13
		HI OR MEDICARE PAYABLE							6	1	07
		FIT PAYABLE						3	7	5	00
		GROUP INSURANCE PAYABLE						1	0	8	00
		401K PAYABLE						1	5	5	00
		CASH						3	2	5	130
01	04	PAYROLL TAX EXPENSE		4	9	4	87				
		OASDI OR SS PAYABLE						2	6	1	13
		HI OR MEDICARE PAYABLE							6	1	07
		FUTA PAYABLE							2	5	27
		SUTA PAYABLE						1	4	7	40